

THE SESSION • POST-CLOSE READ

Oil Jumps, *Chips Stay Firm*

Brent rose more than 4% to roughly \$102 on Middle East escalation reports and the 10-year Treasury yield reportedly touched a multidecade high before easing, yet the S&P 500 closed up 0.23% with AI-linked technology among the firmer areas. Dividend Strategy +0.34% beat SPY and trailed DVY; Growth Portfolio +0.79% beat IUSG.

S&P 500 ▲ 0.23%

NASDAQ ▲ 0.03%

DOW ▲ 0.04%

VIX 16.5

BRENT ▲ \$102

DIVIDEND STRATEGY

▲ BEAT SPY • TRAILED DVY

+0.34%

1-DAY

FCI		+0.34%
DVY		+0.42%
SPY		+0.18%

YTD +15.83% vs DVY +10.80% • SPY +12.92%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.79%

1-DAY

FCI		+0.79%
IUSG		+0.23%

YTD +21.85% vs IUSG +16.05%

THE SESSION

Equities recovered from early weakness to close modestly higher on Thursday, as AI-linked technology helped offset a sharp rise in crude and Treasury yields that reached multidecade highs during the session. The S&P 500 gained 0.23% to 7,669, the Nasdaq rose 0.03% to 26,868 and the Dow added 0.04% to 50,927, with the VIX near 16.5. CNBC reports that Brent crude rose about 4.4% to settle near \$102 a barrel after a report that the U.S. is sending a third aircraft carrier strike group to the Middle East. The 10-year Treasury yield reportedly touched a level above 5.3% intraday, its highest since 2002 per published reports, before easing back toward 5.24%. The ISM manufacturing prices index rose 6.8 points to 77.9, and initial jobless claims came in at 197,000 against 200,000 expected. Published reports indicate that market-implied odds of an October rate increase have fallen to about 35% from roughly 71% a week earlier, which positions Friday's September pay-

rolls report as a key input for the rate outlook. Micron's fiscal fourth-quarter results and outlook, per reports, pointed to continued AI-driven memory demand, a backdrop that tends to support semiconductor equipment suppliers.

The Dividend Strategy gained 0.34%, trailing DVY's 0.42% gain by 0.08 point and beating SPY's 0.18% by 0.16 point, with thirteen of twenty-five holdings higher. NatWest was the largest drag, subtracting about 0.17 point as the shares fell 4.16% to \$17.40; no company-specific news identified. S&P Global declined 1.57% to \$388.27 and Abbott 2.17% to \$96.68, while Qualcomm slipped 1.08%. ADP led contribution, rising 2.29% to \$263.96 and adding about 0.15 point, with TE Connectivity +3.21% to \$217.85, SS&C +1.78% and Constellation Energy +1.93%. Lam Research rose 3.53% to \$340.10, and Caterpillar gained 1.92% to \$826.35.

Oil, yields and chips pulled in different directions in one session. Our work is to know what each business earns through all three, not to trade the day's headlines.

The Growth Portfolio gained 0.79% while IUSG rose 0.23%, ahead by 0.56 point, with eighteen of twenty-five holdings higher. ServiceNow was the largest contributor, rising 2.82% to \$137.79 and adding about 0.27 point, as Benzinga attributes the move to sympathy with Accenture's better-than-expected results and a broader rebound in software shares; ServiceNow also launched its Flow service-desk product the same day. Credo advanced 7.90% to \$210.17, adding about 0.23 point with no company-specific catalyst identified in published reports,

and Keysight rose 2.71% to \$373.92 and NVIDIA 1.09% to \$230.86. The rise in crude coincided with gains in ONEOK (+2.22%) and Chevron (+1.45%). Agnico Eagle (-1.51%), Freeport-McMoRan (-1.00%) and Robinhood (-1.20%) weighed. IBIT rose 1.31% and ETHA 1.24%. On the year, the Dividend Strategy stands at +15.83% against DVY's +10.80%, a +5.03-point spread, with SPY at +12.92%; the Growth Portfolio stands at +21.85% against IUSG's +16.05%, a +5.80-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +7.90%

GROWTH

Closed at \$210.17; no company-specific catalyst identified in published reports.

LRCX +3.53%

DIVIDEND

Closed at \$340.10 as Micron's results pointed to continued AI memory demand, per reports.

DECLINERS

NWG -4.16%

DIVIDEND

Fell to \$17.40; no company-specific news identified.

ABT -2.17%

DIVIDEND

Closed at \$96.68; no company-specific news identified.

TEL +3.21%

DIVIDEND

Closed at \$217.85; no company-specific news identified.

NOW +2.82%

GROWTH

Rose to \$137.79, the Growth Portfolio's largest contributor, as software shares rebounded following Accenture's results, per Benzinga; Flow launched the same day.

SPGI -1.57%

DIVIDEND

Closed at \$388.27; no company-specific news identified.

AEM -1.51%

GROWTH

Closed at \$180.50 as gold prices were reported weaker while Treasury yields rose; no company-specific news identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+15.83%

vs DVY +10.80% / SPY +12.92%

Spread vs DVY +5.03 pts

GROWTH PORTFOLIO

+21.85%

vs IUSG +16.05%

Spread vs IUSG +5.80 pts